

The above peculiarities are specific to the ‘residential’ side of the real estate industry. As we will discuss further in this chapter, commercial real estate is quite a different animal.

Why do so many investors get trapped in residential real estate?

In spite of the drawbacks in residential real estate as an investment class, it remains the single biggest asset class for affluent Indians. The biggest portion of most people’s net worth is invariably in one or more of the houses they own. There are several reasons for this:

A head start: Until the stock market came to the fore over the past decade, buying a house, buying land or buying gold was the only known way to save and invest money. Compared to the familiarity of buying land or gold, investment in any form—either in mutual funds or in stocks or bonds—is alien to most Indian investors (see the exhibit below). According to the RBI’s Household Finance Committee Report (2017), only 5 per cent of India’s household savings is invested in financial assets as against 77 per cent in real estate. As a result, residential real estate occupies a much larger mind share for Indian investors than any other asset class.